

INVENTORY CONTROL POLICY

Rewritten using the supplied inventory workbook and source policy requirements

1. Purpose

This policy defines minimum and maximum stock controls, receiving and reconciliation requirements, purchase approval, variance management and monthly cycle counts. The supplied inventory register contains 2,000 records across four warehouses and five categories.

2. Inventory Position Snapshot

Category	Records	Quantity	Recorded Cost
Components	402	51,324	\$677,858.81
Electronics	383	47,408	\$3,699,639.83
Finished Goods	319	39,347	\$4,886,593.45
Packaging	504	65,471	\$154,793.70
Raw Materials	392	48,751	\$600,351.52

3. Reorder Thresholds

Maintain the minimum stock level established for each product. When available stock reaches or falls below its approved reorder threshold, initiate the purchasing review. The supplied policy does not define a universal numeric threshold, so product-level thresholds should be maintained in the approved inventory master rather than inferred from this report.

Before creating a replenishment order, confirm current quantity, recent demand, open purchase orders, warehouse position and the applicable vendor/procurement requirements.

4. Maximum Stock Control

Do not exceed the approved maximum stock capacity. Any proposed replenishment that would cause stock to exceed the maximum must be reviewed before ordering. Exceptions, if permitted by management, must be documented.

5. Warehouse Controls

Warehouse	Quantity	Recorded Cost
WH-A	64,590	\$2,483,507.53
WH-B	63,078	\$2,712,278.11
WH-C	63,435	\$2,548,013.07
WH-D	61,198	\$2,275,438.60

6. Receiving and Inspection

1. Verify product ID, product name, category, quantity, unit cost, vendor ID and receiving warehouse.
2. Inspect goods for quantity discrepancies, damage and identification/quality issues.
3. Record accepted inventory accurately and segregate exceptions until resolved.
4. Reconcile the receipt to the approved purchasing documentation.

7. Purchase Approval

Approval is required for inventory orders over \$10,000, consistent with the source Inventory Policy. The approval record should identify the product, quantity, estimated cost, reason for purchase, vendor and expected stock position after replenishment.

8. Stock Variance and Reconciliation

Investigate differences between physical stock and recorded stock. Reconciliation should identify the product, warehouse, expected quantity, counted quantity, variance, probable cause, corrective action and approver where an adjustment is required.

9. Monthly Cycle Counts

Perform cycle counts monthly. Count results must be compared with the inventory register and documented. Material variances should be escalated and corrected only through an authorized adjustment process.

10. Inventory Governance

Inventory decisions should balance service requirements with minimum/maximum stock controls. Sales and operational demand data may inform replenishment decisions, but no purchase should bypass the applicable \$10,000 inventory approval rule or the vendor/procurement controls.